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Introduction to banking law

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ Understand the nature and importance of banks within the financial system
- ✓ Appreciate the importance of the role of banks in the financial system
- ✓ Start to appreciate the importance of the banker–customer relationship
- ✓ Gain an understanding of the global financial crisis

1. INTRODUCTION

Banks represent important institutions within the financial system. This is particularly due to the role they play in an economy. Banking law is generally a wide concept, since it embraces many different aspects, including the configuration and nature of the banking system, the importance of banks and the legal framework. Banks are also important institutions as they can be used as an instrument or catalyst to facilitate things such as the purchase of houses, the payment of fees, and so on. The bank makes funds available by providing credit to customers, which helps the economy. To discharge this responsibility effectively, it is the obligation of these banks to manage the different types of risks, including operational and market risks.

Given these banks have a large responsibility, it is imperative that there is an effective regulatory system to regulate and supervise these institutions. The regulation of banks has experienced drastic change as a result of the global financial crisis which occurred in 2007–9. The crisis, which started in early 2007, resulted in Northern Rock being nationalized, followed by the near failure of Bearn Sterns in 2008. The global financial crisis of 2007–9 was the closest we had come to the Great Depression of 1930. During this period, banks, regulators and governments globally sought to rescue banks to save them from failing.

In this chapter, we are going to lay a foundation to help you understand banking law in the UK. This will help you have a greater understanding of the topics in subsequent chapters. In this initial section we will talk about why banks are considered 'special' or 'important' institutions, and the role they play within the financial system. We will also explore how a bank is defined under the law. What we discover here is that there is no single definition and that case law and statute play an integral role in the way this aspect of banking law has developed. After this, we will consider the banking business and the different types of banks that exist in the financial system. These range from traditional retail banks such as Barclays Bank

and Halifax, to challenger banks such as Monzo and Revoult. Finally, we will consider the global financial crisis and the impact of this on the banking system.

Banks are considered to be special institutions due to the role they play within the wider economy. These institutions carry out important tasks, such as taking deposits, providing payment facilities and providing funding for individuals, other organizations and the government. There are other factors which make banks important institutions. These include: the role they play within the financial system; the manner in which they are regulated and supervised; and the risk posed if they fail or fall into crisis.

2. WHAT IS THE DEFINITION OF A BANK?

There is no widely accepted definition of a bank. Nevertheless, statute and case law have been highly instrumental in this respect. It is important to provide some clarity in this area, as the discussion here ties in with the concepts of regulation which are discussed below and will help in the understanding of the banker–customer relationship which is explored in the subsequent chapter of this book. In terms of the banker–customer relationship, being able to define what a bank is can have an impact on the duties that they have towards customers. An example of such duties could be the duty of confidentiality and the duty of the bank to honour mandates. The first important step is to discuss what the law (statute and common law collectively) recognizes as a bank. Once we have established this, we can then explore the activities that the bank engages in, and the different banks that exist in the system.

2.1 Statutes

The UK law does not provide a single definition of a bank. There are however different statutes which make reference to either 'bank', 'banker' or 'banking'. These references, coupled with the judicial approach, are helpful in adducing a definition of banking. The Bills of Exchange Act 1882 was one of the first Acts which considered the term 'banker'. It is prudent to note that the Banking Acts of 1979 and 1987 were the first Acts to deal with the licensing of banks capable of accepting deposits from the public. Under s.2 of the Act, a banker is defined as 'a body of persons whether incorporated or not, who carry on the business of banking'.

There are other Acts, which provide further context, including the Banking Act 2009, where a bank is defined as a 'UK institution which has permission under Part 4 of the Financial Services and Markets Act 2000 to carry on the regulated activity of accepting deposits'.

It is clear that these definitions are similar and assist in providing some context to the business of banking. Several traits appear relevant in this definition. First, it is clear that there needs to be an institution which *accepts* funds from customers which are then in turn placed in their account. Second, banks honour cheques or funds which are drawn by these customers. Third is that the banks are, in one way or another, regulated as seen by the definition of the Banking Act 2009. The concept of regulation is discussed in the later sections of

this chapter. Finally, such an institution carries out the business of banking. As we will see through the cases discussed below and in the subsequent chapter, banking business can take many forms.

2.2 The Common Law Approach

The courts have been instrumental in their judicial pronouncements of the characteristics of a bank. We turn to a few cases to which provide further clarity to this definition. The Irish courts in *Re Shield Estate* [1901] 1 Irish Reports 182 stated: 'The real business of the banker is to obtain deposits of money which he may use for his own profit by lending it out again.'

KEY CASE
***JOACHIMSON V. SWISS BANK CORPORATION* [1921] 3 KB 110**

In this case, two nationals (one German and one English) were customers of a bank where they held an account. During the First World War, the balance on the account was over £2,000 but the partnership between the two nationals was prohibited. Once the war came to an end, the English partner wound up the partnership and commenced proceedings for repayment of the account balance. The issue for the courts here was whether a formal demand for payment had been requested. In providing some further clarity on the banker–customer relationship, Atkin LJ portrayed the banker–customer contract as follows:

> The bank undertakes to receive money and to collect bills for its customer's account. The proceeds so received are not to be held in trust for the customer, but the bank borrows the proceeds and undertakes to repay them. The promise to repay is to repay at the branch of the bank where the account is kept, and during banking hours. It includes a promise to repay any part of the amount due against the written orders may be outstanding in the ordinary course of business for two or three days, it is a term of the contract that the bank will not cease to do business with the customer except upon reasonable notice. The customer on his part undertakes to exercise reasonable care in executing his written orders so as to note mislead the bank or facilitate forgery.

The case of *Joachimson* shed further light and his Lordship noted:

> The bank undertakes to receive money and to collect bills for its customer's account. The proceeds so received are not to be held in trust for the customer, but the bank borrows the proceeds and undertakes to repay them. The promise to repay is to repay at the branch of the bank where the account is kept, and during banking hours. It includes a promise to repay any part of the amount due against the written order of the customer addressed to the bank at the branch … Bankers never do make a payment to a customer in respect of a current account except upon demand.

Lord Diplock added:

> What I think is common to all modern definitions of banking and essential to the carrying on of the business of banking is that the banker should accept from his customers loans of money on deposit, that is to say, loans for an indefinite period on running account, repayable as to the whole or any part thereof on demand by the customer…

Joachimson v. Swiss Bank Corporation (and *Foley v. Hill*, which is discussed below) are two important cases which you will need to include in any discussion of the bank and the customer. These cases provided the courts with the earliest opportunities to elaborate on characteristics of the customer and of the bank. We will first explore some more cases in this area and conclude on the importance of these cases.

In the case of *Great Western Rail Co v. London and Country Banking Co Ltd* (1901) AC 413 HL, it was held that a customer needed to maintain an account with the bank or have a comparable relationship. Although the bank had regularly cashed the cheques of the rate collector, in this instance he was not a customer since he had no account with the bank.

Another opportunity to contribute to the definition of a bank arose in the case of *Woods v. Martins Bank* [1959] 1 QB 55, where it was explored whether providing advice to a customer could come under the umbrella of 'banking business' taking into consideration that the bank had presented itself as an institution capable of providing advice to customers for products and investments. It was held that 'the limits of a banker business cannot be laid down as a matter of law. The nature of such a business must in each case be a matter of fact and, accordingly, cannot be treated as if it were a matter of pure law.'

The concept of 'banking business' changes and remains dependent on the context in which it is used. The customary use of the term suggests that there is acceptance of funds into an account of which someone is a customer. It may also constitute the relending of such funds for the purposes of investment, with a view to make a profit. It is important to note that banking business in one jurisdiction may be different to banking business in another. In the United Kingdom, the case of *United Dominion Trust Ltd v. Kirkwood* (1966) 2 QB 431 (CA) provided a further opportunity to provide some understanding to what banking business constituted within the English context.

KEY CASE
***UNITED DOMINION TRUST LTD V. KIRKWOOD* (1966) 2 QB 431**

In this case, United Dominion Trust was a finance house and it borrowed £5,000 to Lonsdale Motors Ltd to enable them to purchase cars. The company went into liquidation and United Dominions Trust sued the managing director of the company in a bid to recover the loan. It was argued that the finance house (United Dominion Trust) was an unregistered money lender and as such the loan was in contravention of the Moneylenders Act 1900. United Dominion Trust argued that it was a banker and not a moneylender. The question for the court to consider in this instance was whether United Dominions Trust was indeed carrying on the business of banking.

There was some doubt that United Dominion Trust was engaging in banking business. Lord Denning provided some characteristics of a banker that one may expect to find:

> There are, therefore two characteristics usually found in banks today: (i) They accept from, and collect cheques for, their customers and place them to their credit; (ii) They honour cheques drawn on them by their customers when presented for payment and debit their customers accordingly. These two characteristics carry with them a third, namely (iii) They keep current accounts or something of that nature, in their books in which the credits and debits are entered.

This case is an important one in deciphering the business of banking, for many reasons. The court, on evaluation of the evidence presented before it, considered that the activity between the company and United Dominions Trust was a short-term investment and was not repayable on demand. The second consideration was that while there was no evidence that United Dominion Trust collected cheques on behalf of its customers, there were other important traits which were of interest that should not be ignored. Lord Denning particularly commented that it was imperative to 'look at the reputation of the firm amongst ordinary intelligent commercial men. If they recognise it as carting on the business of banking, that should turn the scale.' It was concluded by the Court of Appeal that the act of lending in itself does not make the institution a 'bank', although there was an agreement that the acceptance of deposits from the general public was a compulsory requirement to be recognized as a bank. This was also applied in *Re Roe's Charge* [1982] 2 Lloyd's Rep 370. In this case, however, there was a recognition of United Dominion Trust Ltd's reputation, and for this purpose it was recognized as a bank. As such, the provisions of the Moneylenders Act should not be applicable in this instance.

This obiter was elaborated on in the case of *Re Roe's Legal Charge*, which addressed a similar issue on the meaning of banking business, under the Moneylenders Act 1900. In this case, the finance company created current accounts for customers and collected cheques on their behalf. In addition to this, the finance company provided other services which included selling travellers' cheques, dealing in foreign exchange and providing facilities for the payment of money transfer orders into and out of customers' accounts.

Even though we have the examples from the statutes and the cases which we have just covered, it is important to note that there still is no universally accepted definition of a bank.

In relation to banking business, the courts in this instance identified some factors between *Re Roe* (the company) and an ordinary bank. The first was that the company's banking services were provided through an agency bank and not on a premise which was maintained and managed in its own name. Second, the number of accounts that was opened for customers by the company was less than 200 and only 58 cheques were cleared for customers during the year of 1974. Third, three quarters of the deposits for the company were held and managed by shareholders and its subsidiary and associated companies. Finally, the company did not

get deposits from the public by way of adverts. The courts considered two factors, which were later held to be inconsequential. The first was the limited number of items cleared through the company; the second was the comparison of banking business between this company and a clearing bank. The main material issue was whether the banking business of the company was 'real' in relation to the terms of its entire business.

✓ **You should now be able to identify features of a bank and identify some key cases in this area**

3. THE CUSTOMER

We have now considered the characteristics of a bank, through the statutory definition and through case law. It is now important to consider the other party, being the customer. Similar to the difficulty in identifying the bank, the same problem presents itself here in terms of defining the customer. There is no statutory definition for a customer, although there are some provisions which refer and regulate the banker–customer relationship in the Bills of Exchange Act 1882, s.75(1). In providing context to this definition, however, case law has been helpful. We will explore this in more detail below.

Previously, in order to become a customer of a bank, there was a requirement for a habitual course of dealings, meaning that the bank had to engage in some services for a person. The court considered this approach in the case of *Matthews v. Brown & Co* (1984) 10 Times Rep 386. The position has since been overruled by the case of *Ladbrook & Co v. Todd* (1914) 30 Times Rep 433, elaborated further in the case of *Taxation* of *Commissioners v. English, Scottish and Australian Bank* [1920] AC 683 (PC) and considered in the case of *Importers Co. Ltd v. Westminster Bank Ltd* [1927] 2 KB 297.

KEY CASE
***TAXATION* OF *COMMISSIONERS V. ENGLISH, SCOTTISH AND AUSTRALIAN BANK* [1920] AC 683 (PC)**

In the case of *Taxation* of *Commissioners v. English, Scottish and Australian Bank* a stolen cheque was paid by a thief to an account opened by him with the defendant bank. The question at hand for the courts to consider was whether the thief had become a customer of the bank by virtue of the singular transaction. In providing some clarity to a customer in this instance, Lord Dunedin noted:

> … the word 'customer' signifies a relationship in which duration is not of the essence, A person whose money has been accepted by a bank on the footing that they undertake to honour cheques up to the amount standing to his credit … is a customer of the bank … irrespective of whether his connection is of short or long standing. The contrast is between a casual service, such as for instance, cashing a cheque for a person introduced by one of their customers, and a person who has an account of his own at the bank.

The courts have also had to address the question of when the bank comes into existence, in order to decipher whether a person is indeed a customer. This was addressed in the case of *Ladbrook v. Todd*, where the courts suggested that the relationship comes into existence when the customer agrees to open an account. In this case, the bank had opened an account for a thief who was impersonating someone else. He has deposited a cheque into the bank which was accepted. The question here for the courts was whether he was a customer of the bank, and they decided he was. This was considered again in the case of *Marfani & Co Ltd v. Midland Bank Ltd* [1968] 1 WLR 956. Similar to *Ladbrook,* a fraudster opened an account with the bank in the name of 'Eliaszade', who was a client of the fraudster's employer. A cheque was drawn on his employer, made payable to 'Eliaszade', into that account. In this instance, the court concluded that the bank's customer was the fraudster and not the actual 'Eliaszade'. It was also clear that Eliaszade had not intended to create a banker–customer relationship with this bank.

Another opportunity to explore the definition of a customer came in the case of *Stoney Stanton Supplies (Coventry) Ltd v. Midland Bank Ltd* [1966] 2 Lloyd's Rep 373. In this case, B had forged the signature of C's company directors with the objective of opening an account in the company's name. It was held that in this instance, the banker–customer relationship was not created because of the forgery. This rendered the whole transaction null and void, notwithstanding that the account had become functional.

The aforementioned cases provide some insight into the courts' approach in determining the actual moment at which a banker relationship is formulated. As per *Ladbrook*, the suggestion is that this takes place once the bank agrees to open the account. This position was supported in the case of *Woods v. Martins Bank* [1959] 1 QB 55. The claimant in this case had inherited a large amount of money and received poor investment advice from one of the defendant bank managers. The claimant sued to recover some of the investment he had lost; however, the question for the courts was whether he was indeed a customer of the bank and whether a banker–customer relationship existed at the time the advice was provided. The claimant had no account with the bank at the time of receiving the advice. He did however ask for the following, to which the bank obliged: collect the outstanding balance on an account which he held with another bank; use a large portion of this funds to make the investments as suggested by the bank manager; and make a credit for any remaining sums to a new account, which was to be opened with the defendant bank, in his claimant's name.

Salmon J observed that the banker–customer relationship came into existence at the time the account was opened in his name. He noted:

> In my view, the defendant bank accepted the instructions contained in this letter as the plaintiffs banker, and at any rate, from the date the relationship of a banker and customer relationship existed between them. It is true that the express advice was in the first place given before 9th May, but it was implicitly repeated on that day.

There is one exception to the view of 'customer' and whether this is the same as someone who holds an account. In the case of *Importers Co Ltd v. Westminster Bank Ltd* [1927] 2 KB 297, a clearing bank, the courts acknowledge that a bank may be a customer of a collecting

bank where a clearing bank accepts cheques deposited by a non-clearing bank on behalf of its customer, for the purpose of clearing.

Given the discussion in relation to who a customer is, we may now draw two clear determinations. First: for a banker–customer relationship to come into place, the bank agrees to open an account in the customer's name. We can see this evidently from the case of *Ladbrook*. It is not necessary that the customer has been dealing with the bank over a period of time. In agreeing to open an account, the bank is agreeing to accept and honour cheques which are deposited into the account and to make payments which are payable to him. This was further supported in the case of *Libyan Arab Foreign Bank v. Bankers Trust* [1989] QB 728.

The second determination is that in terms of the banker–customer relationship, the bank effectively agrees to act as the customer's agent in transactions. In addition, there is an implied expectation that they will exercise the same degree of skill and care necessary of a responsible banker. This is particularly evident in the case of *Woods v. Martins Bank*, discussed earlier.

4. THE BANKER–CUSTOMER RELATIONSHIP

The banker–customer relationship can be described as being of a contractual nature. In some respects you can consider this relationship similar to a bailor–bailee relationship, given that the customer transfers physical possession to the bank. In other words, the customer is the bailor, while the bank is the bailee. Given this contractual nature, it follows that the banker–customer relationship is managed or governed by established contract law principles. In addition to this, however, it is important to recognize that there are other factors that induce the relationship, such as implied terms of law, and best practice standards, introduced on a voluntary basis to help manage the banker–customer relationship.

The journey of introducing these best practice standards can be traced as far back as the Banking Code which came into force in January 2001. To manage the banker–customer relationship it is important to note that there are indeed a range of sources, many of which we consider below and again in further detail in the subsequent chapter. The courts have had a number of opportunities to explore this relationship in detail and *Foley v. Hill* is a key case to note when discussing the banker–customer relationship. In this case, the courts held that this relationship was essentially a contract relationship between the debtor/borrower and the creditor.

KEY CASE
***FOLEY V. HILL* (1848) 2 HLC 28 (HL)**

In the case of *Foley*, the customer deposited funds into his account held at the bank, relying on information conveyed to him that it would earn interest at a fixed yearly rate of 3 per cent. The account received no interest to the account for six years, and the customer requested an account of profits of the account. This request was on the grounds that as a customer of the bank, he was either the bank's principal or the beneficiary of a trust. It was also argued that the banker–customer relationship was of a fiduciary nature, and this meant that the claim was not barred by statute.

In underscoring the debtor-creditor relationship between the bank and customer, Lord Cottenham noted:

> Money placed in the custody of a banker is, to all intends and purposes, the money of the banker, to do with it as he pleased: he is guilty of no breach of trust in employing it: he is not answerable to the principle if he puts it into jeopardy, if he engages in a hazardous speculation; he is not bound to keep it or deal with it as the property of his principal; but he is of course answerable for the amount, to repay to the principal, when demanded, a sum equivalent to that paid into his hands.

Furthermore, it was also noted that the limitation period would run against the customer from the date of the demand, which was unmet, as opposed to the date of the deposit. The banker-customer relationship is also not altered simply because the customer's account is overdrawn; however, the debtor and creditor roles are of course reversed as in this instance the customer is now the one owing

In relation to the cases of *Foley v. Hill* and *Joachimson v. Swiss Bank Corporation*, there are a few things to make note of. First, when reflecting on the relationship, the demand from the customer is only necessary when there is an instruction for it. Payment for the principal and interest is repayable once it has been demanded. Second, given that withdrawals can be made from other branches and using ATMs, there is no requirement for the demand of payment to be made where the account was opened. This seems to be a reasonable approach because it would probably be impracticable in many ways if, every time you needed to make a withdrawal, this could only be done at the branch where you opened the account. Third, if an account is wound up, then the account balance is repayable without demand. A good case to support this is *Proven Development Sdn Bhd v. Hong Kong and Shanghai Bank Corp* [1998] 6 MLJ 150. As adduced particularly in the case of *Foley*, the limitation period commences from the day the customer makes the demand to the bank and is then refused.

The banker–customer relationship is really important in terms of outlining the obligations from the customer to the banks.

The two final points require slightly more discussion. In the cases of *Foley* and *Joachimson*, the contractual relationship between the bank and customer is for the most part regulated by *implied* terms. However, taking into consideration the development of modern banking, there is now a requirement that when customers are opening an account they expressly sign a mandate which includes clear and express terms of the management and operation of the account. In addition to the basic functioning of an account, if a customer wants to make use of other services provided for by the bank – for example, mobile banking, telephone banking and so on – the customer will usually also need to sign a separate agreement for those services.

The final point is that these two key cases focus on the banker–customer relationship with a view to how the account is maintained. It is important to note that these banks provide other services in addition to maintaining accounts. A good example of this is when the bank is looking after valuables for the customer. In this instance, the bank essentially becomes a 'bailee'. Other examples include where the bank is managing the customer's investment folder. In this particular instance, the relationship has evolved from a basic banker–customer relationship and now involves a mixture of agency and contract services. As a result of the potential for the relationship to evolve, it therefore follows that it is not correct to portray the banker–customer relationship only as a debtor–creditor relationship. It is possible for the relationship to be of one of trustee and beneficiary – this does not necessarily include the actual movement of property, as seen in the case of *Foskett v. McKeown* [2001] 1 AC 102. A more recent case has now clarified the obligations of a bank and noted that they are personal and not proprietary. In the case of *First City Monument Bank Plc v. Zumax Nigeria Limited* [2019] EWCA Civ 294, the courts noted that banking transactions will not give rise to any trust. It also noted that the correspondent bank's obligation for onward payment is personal as opposed to proprietary in nature.

✓ **Now you understand the importance of the banker–customer relationship, and the relevance of both *Foley v. Hill* and *Joachimson v. Swiss Bank***

5. BANKING BUSINESS

Now that we have explored some important aspects, for example the definition of a bank and a customer, it follows that we should explore the concept of 'banking business'. As noted in the introduction to this chapter, banks are important institutions within the general financial system. The functions and activities of banks have evolved and continue to do so; however, in their most basic form, banks accept deposits from customers and make payments for their customers. The deposit function of a bank is probably one of the most fundamental and key aspects. In the UK, most people will have either a basic account or a current account. These types of accounts allow for funds to be stored and for payments to be made to other customers or to companies.

The banks' ability to accept deposits plays another important role in relation to creation of 'credit services'. The creation of this service allows banks to be in a position to provide credit to a person who may not be able to make payment for goods or services in full. An example may be the creation of a direct debit to pay gym membership, if a person cannot pay for the entire cost at once. Another example might be purchasing a house and taking out a mortgage if a person cannot pay for the property in its entirety.

5.1 Types of Financial Institutions within the Financial System

There are different types of banks within the financial system, including retail banks, clearing banks, commercial banks, investment banks, shadow banks and challenger banks. These are discussed below.

5.1.1 Retail and Clearing

Retail banks are the easiest to distinguish among the many types of banks in the system. Some popular banks in this category include Halifax, Barclays, Royal Bank of Scotland and National Westminster (NatWest). These banks mostly deal with processing credits and debits and they play a vital role in ensuring the effective running of the economy.

5.1.2 Commercial Banks

Commercial banks have played a significant role in the development of commercial banking. Commercial banking is quite broad as it contains a number of different moving parts. It involves international trading, which includes international payments and trades. Banks engage in the international market as it allows them to grow and encourages the development and fostering of business relationships.

5.1.3 Building Societies

Building societies can be described as organizations whose primary focus is deposit taking and providing mortgage lending services to people. These types of institutions, unlike retail banks, usually provide better rates. This is because there is no obligation to pay shareholders or profits (dividends). Over the years, the number of building societies has reduced drastically. The leading building society is Nationwide.

5.1.4 Investment Banks

Investment banks are institutions which are primarily focused on providing generating profits for their clients, at a fee. Thus, they are more high-end banks and not necessary for the general public. These types of banks take much higher risks than one would expect of retail, clearing or even commercial banks. This is because they are more exposed to the market and to things such as market and commodities risk.

5.1.5 Challenger Banks

A challenger bank is smaller than a traditional bank, some of which were mentioned above. These institutions came into force after the global financial crisis in 2008, with the objective of gaining a position to compete with the bigger banks. Examples of these challenger banks include Monzo, Revolut and Starling Bank. The interesting thing about these challenger banks are that they mostly interact with customers only using a mobile app and are generally user-friendly.

✓ **Now you understand some of the different banks we have in the banking system**

6. WHY DO WE REGULATE BANKS?

6.1 UK Banking Structure

Before we go into why we regulate banks, it will be helpful to understand the regulatory structure of the UK. This may be described as operating on a 'twin peaks'-type model. The first is the Prudential Regulation Authority, whose primary focus is to supervise and to ensure the safety and soundness of banks. This body authorizes banks and insurers, which are fundamental to financial stability. The second is the Financial Conduct Authority (FCA), whose objective is to maintain confidence within the UK's financial system. In terms of operation, the FCA's focus is on consumer protection and promoting competition in the financial markets.

Now that we have laid that foundation, let us turn to the importance of regulation. Given banks' significance, which we covered earlier in the chapter, the failure of a bank can have a substantial impact on the larger economy. Banks are quite closely connected with each other, as are the activities that they undertake. Because of the nature of banking business, many if not all of these banks are interdependent on each other. If one bank were to fail, it would have a detrimental impact on the other banks, similar to a domino effect. Additionally, the failure of one bank could raise fear in the other banks, thus spreading panic throughout the entire system.

The failure of any bank within the system may have consequences for both the bank and the consumer. From the consumer perspective, there is the fear of losing savings or investments held with the banks, thus decreasing confidence in the banking system. From the perspective of the bank, there is the fear of instability within the system and a lack of consumer confidence. Northern Rock's nationalization during the global financial crisis of 2007–9 can to some degree illustrate this. The nationalization was a move by the government to avoid a collapse in the UK banking system and to negate further fear.

This brings us to the question of why we regulate and supervise banks. Before we go into the reasons behind this, it is helpful to understand the meaning of both terms. Banking regulation refers to rules and guidelines which banks are required to comply with. Banking supervision refers to the process and method of banks' supervision by regulators.

Regulation is necessary for two reasons. The first is that, from the customer perspective, it is important that customers feel that the banks they are trusting with their money are properly regulated and supervised by appropriate bodies. If you have an account with Halifax Bank, for example, you want to know that Halifax is being regulated properly and that your money is safe. The Consumer Rights Act 2015 is an important Act to note also as it provides comprehensive protection of consumer interests. The main area of focus includes the fairness of contractual terms for consumers. In addition to this, it is important to remember the important role that common law has played in terms of defining what a bank is, who a customer is and the duty of care which is owed by the bank to customers and, indeed, from customers to banks. These duties will be addressed in further detail in the subsequent chapter.

Second, the aftermath of the global financial crisis of 2007–9 exposed the severe regulatory weaknesses which existed in the financial system. The global crisis was a critical moment for regulators globally to rethink regulation; however, in the UK particularly, it caused regulators to rethink the approach adopted towards regulation and supervision of banks. The global crisis started with a bursting of the US housing bubble and the bankruptcy of investment bank Lehman Brothers in 2008. Banks in America had engaged particularly in offering sub-prime mortgages. These types of mortgages are usually offered to high-risk customers, who usually have poor credit. These borrowers then started to default on payments, which had a knock-on effect within the system and affected other interconnected banks.

In the case of the UK, Northern Rock was one of the banks which experienced a bank failure. As noted above, this bank was nationalized by the UK government due to the financial difficulties it experienced and its connection with sub-prime mortgages. The events in the UK and the US affected other economies, particularly within the European Union region. To safeguard the financial system, the UK introduced measures to mitigate the possibility of another financial crisis. Such measures included the introduction of the Financial Services Authority, the Prudential Regulatory Authority and the Financial Conduct Authority as a tripartite regulatory structure.

✓ **Now you understand why regulation is important in the banking sector**

✓ **You also know the different regulatory bodies in the UK**

7. THE IMPACT OF THE GLOBAL FINANCIAL CRISIS

Now that we have considered the importance of why we regulate banks, and considering that there has been some mention of the global financial crisis in the earlier sections, it follows that we should briefly consider the impact of the global crisis on the banking system before concluding this chapter. Although the crisis originated in the US, it is important to note that it impacted a number of other countries, including in Africa. Much of the literature, however, does focus on developed countries such as the US, the UK, and so on.

Many US-based banks had engaged in securitization and transforming loans into different securities products. These products were also made with sub-prime mortgages. Sub-prime mortgages, as noted, may be described as mortgages offered to borrowers who have a risker lending profiles. Eventually, the growth of this securitization market led to weak regulation, and affected banks which were globally interconnected.

The global financial crisis revealed several regulatory weaknesses within the financial system. In the absence of sound regulation within the banking system, the crisis also demonstrated that there were poor corporate governance standards. To address these issues, the Turner Review was issued in 2009 with a view to clearly identifying the factors which

contributed to the crisis. This report was instrumental in the supervisory approach previously as being 'light touch'. The report underscored the issues that went wrong leading to the crash and identified the actual causes of the crash. One such identification was the idea that the markets were self-regulatory and that banking institutions could be trusted to rely on their internal controls to address issues. Another finding was that the interconnectedness of banks globally, coupled with the 'too big to fail' notion, meant that no one country would be insulated from feeling the impact. The fact that these countries were interconnected also made responding to the crisis difficult in some instances.

8. SUMMARY

This chapter has considered how a bank is defined under the common law and the statute. In addition, we have explored several important cases which have helped shape this definition. This chapter has also considered the reasons why we regulate banks and the type of banks that exist in the system. Finally, we have considered the impact of the global financial crisis and how this has changed the regulatory approach.

21
The banker–customer relationship

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand the nature of the banker–customer relationship
- ✓ understand the duties of the bank to the customer
- ✓ understand the duties of the customer to the bank

1. INTRODUCTION

In the last chapter, we looked at the definition of banks and their importance within the general financial system. We considered why these institutions are regarded as 'special', and their impact within the economy. We also explored the definition of a bank, taking into consideration the statutory definition and the common law approach. Subsequently, we also considered why we regulate, and the impact of the global financial crisis. Finally, we started to explore the banker–customer relationship and how this is similar to a bailee–bailor relationship (see Chapters 8 and 9). In this chapter we look at this banker–customer relationship in more detail, focusing on the duties required of the bank to its customer and vice versa.

2. THE BANKER–CUSTOMER RELATIONSHIP

The banker–customer relationship is of a contractual nature. It is probably best understood from the perspective of what the customer depositor puts into the account, the sum of which is repaid to the customer as an equal value, on demand. In other words, when you pay money into an account at the bank, the banks *hold* that money until you are ready to make a request for the equal sum.

One of the landmark cases in defining the banker–customer relationship is the case of *Foley v. Hill* (1848) 2 HLC 28 (HL), which clarified that the banker–customer relationship is essentially a contract which exists between a debtor and creditor. This was discussed in the previous chapter. In relation to the point of the banker–customer relationship, when money is paid into an account the bank does not provide any promises or explanations of how the deposits will be used, and in addition, it's not accountable for the usage of this money. In the case of *Hirschhorn v. Evans (Barclays Bank Garnishees)* [1848] 2 HLC 28, it was held that a

bank managing an account on behalf of an insurance syndicate was not holding that money on trust without something more with that understanding.

In the preceding chapter, we started to explore the characteristics of a bank under the common law approach and began with the case of *Joachimson v. Swiss Bank Corporation* [1921] 3 KB 110. This particular case is also really important in relation to the banker–customer relationship discussion. This was discussed in Chapter 19; it added further clarity to the duties of the bank to the customer, and also decided that a customer does not have the right of action against its banks for a repayment of sums until the customer in question makes a demand.

When discussing banking law issues relating to the banker–customer relationship, and answering exam questions on this topic, it is important that the cases of *Foley v. Hill* and *Joachimson v. Swiss Bank* are explored in detail. These cases have clarified a few issues, particularly on the demand of payment from a customer and the maintenance of bank accounts. First, in the instance of a current or savings account, a customer's demand is only required to effect payment. If the account is a fixed deposit account then the interest is payable on the specified day, without a requirement for the customer to request or demand. Second, there is no need for the demand for repayment to be at the branch where the account is held. There would of course be logistical matters connected with this, if this were the case. For example, imagine if you opened an account in Nottingham, you then moved to London, but you could only withdraw money from Nottingham. The issue of the demand for repayment was also considered in the case of *Bank of Scotland v. Seitz* [1990] SLT 584, where it was contended that payment by or to the bank could only be insisted on at the branch where the account was maintained. According to Scottish law, which governed the banker and customer contract, the debtor needed to make payment to the creditor at their registered place of business. Third, when an account is closed, the balance of the account is payable without demand.

As noted, when answering banking law exam questions, two of the important cases you should discuss are *Foley* and *Joachimson* as they form fundamental part of the banker–customer relationship discussion. Aside from the factors identified above, decisions of the courts have demonstrated that the banker–customer relationship, for the most part, is regulated by implied terms and contractual terms.

✓ **You now understand the banker–customer relationship in some more detail. You also now know the two key cases when discussing this relationship**

3. WHAT ARE THE DUTIES OF THE BANK TO THE CUSTOMER?

Now that we have identified the two main cases in this area, it is important to consider the duties that are owed to by the bank to the customers. These duties include the duty to make payment; the duty to conform to the customer's mandate; the duty to exceed the customer's mandate; the duty to obey the customer's countermand; the duty to collect instruments;

the duty to render account; and the duty to maintain confidentiality. In the same way, the customer also has duties, but we will consider this towards the end of the chapter.

3.1 Duty to Make Payment

As noted earlier in this chapter, and indeed in the preceding chapter, the banker–customer relationship is of a contractual nature. Once money is paid into an account held with the bank, the customer is regarded as the creditor, while the bank is the debtor. If the customer is overdrawn on that account, the roles reverse in that the customer then becomes the debtor. In *Foley* this was clearly articulated by Lord Cottenham, who noted:

> Money, when paid into a bank, ceases altogether to be the money of the principal … it is then the money of the banker, who is bound to return an equivalent sum to that deposited with him when he asked for it. the money placed in the custody of the banker is, to all intents and purposes, the money of the banker, to do with it as he pleases.

What this means, therefore, is that the bank is entitled to use the money deposited as it needs to, but also undertakes to repay the amount equal to that paid in, when the customer demands it.

3.2 Duty to Conform to the Customer's Mandate

Another important duty of the bank is to conform to the customer's mandate. In practice, this means that when a customer gives an instruction to the bank, to receive or make payments into their account, the bank is obligated to adhere to those instructions. In the case of *Sierra Leone Telecommunications Co Ltd v. Barclays Bank Plc* [1998] CLC 501 it was stated that:

> … it is a basic obligation owed by a bank to its customer that the bank will honour on presentation a cheque by the customer on the bank … when the bank honours such a cheque or other instructions it acts within its mandate …

Prior to the advent of electronic transfers, customer instructions were in the form of a cheque. The mandate would contain information that one might expect, including information about the beneficiary, the amount and the account to be drawn against, and a signature of the customer. In other words, this mandate operates as an agreement between the customer and the bank.

3.2.1 Can the Bank Refuse to Honour a Mandate?

There are four instances in which the bank can refuse to honour instructions. The first and most common reason is where there are no funds in the customer's account, and there is no prearranged overdraft facility. An overdraft can be described as a loan facility which allows a

current account customer to borrow money from the bank. This can be used to offset bills and is an agreement existing between the bank and customer. There is also what we term an unauthorized overdraft. In this instance, the customer goes overdrawn without a prior agreement or arrangement with the bank. When a customer gives an instruction, it must be clear and unambiguous. In the case of *London Joint Stock Bank Ltd v. Macmillan* [1918] AC 777, this was made clear when Lord Haldane noted that 'the banker has a mandatory right to insist on having his mandate in a form which does not leave room for misgiving as to what he is called on to do'.

If an instruction is unclear or unreadable, the bank can elect to disobey the instruction.

The second reason why the bank may refuse to honour a mandate is if the cheque is out of date. This is actually a matter of practice for banks and if a cheque is presented which is more than six months older than the date which is on it, the bank is within its rights to refuse. This was seen in the case of *Commissioner of Inland Revenue v. Thomas Cook (NZ) Ltd* [2003] 2 NLR 296.

The third reason is if the bank has a good reason to believe that the mandate is not authorized by the customer. If the bank believes that the customer is in fact being defrauded, the bank is within its rights to refuse to honour the transaction. The interesting thing here is that if the bank went ahead, without making the proper inquiry, it would actually be in breach of its contractual duty to the customer. A good case illustrating this is *Lipkin Gorman v. Karpnale & Co* [1989] 1 WLR 1340.

The fourth reason is where the payment has been abrogated by statute of a court order. These instances occur where the customer's account has been frozen, for example under the Proceeds of Crime Act 2002; where the individual has been declared bankrupt; or where the customer has been served with a freezing injunction or a third party debt order. This last instance occurs where a corporate customer is 'wound up'.

3.2.2 What Damages Are Available for a Wrongful Dishonour of a Cheque?

A bank will be liable for a breach in contract in some instances, and as such, the customer may be able to bring an action against the bank. There are a few cases in this area for us to explore. One of the first opportunities to explore the issue of damages was the case of *Gibbons v. Westminster Bank* [1939] 2 KB 882. In this case, the bank dishonoured a cheque and the court held that the 'loss' needed to be proven in order to recover damages. As the likelihood of a customer suffering any special loss is slim under the contract law rules, claims are limited to nominal damages. There are other cases, including *Marzetti v. Williams* (1830) 1 B& Ad 415, which have explored this issue and recognized that there may be a loss of reputation.

KEY CASE
***KPOHRAROR V. WOOLWICH BUILDING SOCIETY* [1996] CLC 510**

In this case, Mr Kpohraror was a self-employed importer/exporter and maintained a current account with Woolwich Building Society. Mr Kpohraror drew a cheque, payable to his suppliers, who had agreed to supply him with goods to be resold in Nigeria. The following day, the cheque was wrongfully dishonoured by the bank. Payment to the third party was eventually successful; however, the

delayed payment resulted in the goods being shipped late, further resulting in Mr Kpohraror losing his sub-buyer in Nigeria. Mr Kpohraror brought an action against the bank on the grounds of breach of contract. On the first ground, he sought general damages for injury to his credit and to his reputation; on the second, he sought special damages for loss of profit.

This case is important as it reflects on social and societal changes. A wrongful refusal of payment may actually cause harm to the public, regardless of whether they are traders or private individuals. Of particular interest is the judge's following comment:

> It is abundantly clear, in my judgement, that history has changed the social factors which moulded the rule in the nineteenth century. It is not only a tradesman of whom it can be said that the refusal to meet his cheque is 'so obviously injurious to his credit' that he should 'recover, without allegation of special damage, reasonable compensation for the injury done to his credit' … The credit rating of individuals is as important for their personal transactions, including mortgages and hire purchase as well as banking facilities, as it is for those who are engaged in trade … I would have no hesitation in holding what is in effect a presumption of some damage arises in every case, in so far as this is a presumption of fact.

The decision in *Kpohraror* established that in every case, irrespective of whether the individual in question is a trader or not, there is an irrebuttable presumption that the party suffers some injury to his credit and to his reputation when a cheque is wrongfully dishonoured. This case is indeed a landmark one as it has clarified the application of the law in practice and recognizes the implications that a wrongfully dishonoured cheque may have for both traders and private individuals in respect to the availability of credit.

It is also important to note that a bank may also face action in defamation, if the wording on a cheque which is returned makes reference to a lack of funds in the account of the customer. This can quite clearly damage the reputation of the customer when and if it is read by the payee. In the case of *Jayson v. Midland Bank* [1968] 1 Lloyds Rep 409, it was accepted by the court that the phrase 'refer to the drawer' could be interpreted as the customer having insufficient funds in the account to be drawn on and that this in fact could damage the customer's reputation and indeed be defamatory if it was untrue. A way to avoid actions in defamation in the example above would be to not provide a reason for the non-payment. In the case of *Frost v. London Joint Stock Bank Ltd* (1906) 22 TLR 760, the bank returned a cheque which was stamped 'reason not stated'. It was held that this could not be regarded as defamatory because, while it could be interpreted as defamatory, it could also have an innocent meaning.

3.3 Duty to Obey Customer's Countermand

The bank also has a duty to obey the customer's countermand to make payment. A countermand can be described as the revocation of instructions to pay. It is important that the customers' countermand is unambiguous and clear. In this section, the focus will be on cheques. There is a statutory obligation which is defined under s.75 of the Bills of Exchange Act 1882. This section states:

> The duty of and authority of a banker to pay a cheque drawn on him by his customer is determined by (1) the countermand of payment.

There are some noteworthy cases in this area, which help to understand this duty more clearly. These cases include the case of *Westminster Bank Ltd v. Hilton* (1926) 43 TLR 124, which also reaffirms the nature of the banker–customer relationship; *Reade v. Royal Bank of Scotland* [1922] 2 IR 22; *Curtice v. London City and Midland Bank* [1908] 1KB 293; and *Commonwealth Trading Bank v. Reno Auto Sales Pty Ltd* [1967] VR 790.

In the case of *Westminster Bank v. Hilton*, the customer drew a post-dated cheque for 2 August. He telegraphed the bank the day before, instructing the bank to stop the payment. While he provided the correct details in regard to the amount and payee, Hilton provided the wrong serial number for the cheque. The bank honoured the cheque, which resulted in the customer's funds depleting from that particular account. When a subsequent cheque was presented, it was dishonoured.

The customer sued for damages; however, the House of Lords dismissed this appeal, stating that the customer's instructions were unclear and ambiguous. When a customer provides instructions that are unclear or capable of having more than one interpretation, the bank would not be liable if it assumes an interpretation which is reasonable. If, however, the instructions are ambiguous, then it is necessary for the bank to ensure that they contact the customer to clarify. This was held in the case of *Cooper v. National Westminster Bank* [2009] EWHC 3035.

Lord Atkin also offered some further clarity on the banker–customer relationship, which we covered in the previous chapter. He remarked:

> It is well established that the normal relation between a banker and his customer is that of debtor and creditor, but it is equally well established that *quoad* the drawing and payment of the customer's cheques as against money of the customer's in the banker's hands the relation is that of principal and agent. The cheque is an order of the principal's addressed to the agent to pay out of the principal's money in the agent's hands the amount of the cheque to the payee thereof.

The bank is bound by the customer's instructions as long as there are funds in the account to make the payment. The bank cannot refuse to honour any cheques which are drawn, prior to the notice of termination being received.

In the case of *Reade v. Royal Bank of Scotland*, the customer provided instructions to countermand a cheque and set out the number of the cheque and the name of the payee of the cheque. Unfortunately, Mr Reade did not provide information as to which of the two accounts which he held with the bank the cheque was to be drawn from. The bank made a note on one account and drew the cheque against another account. It was held by the court that the countermand was indeed effective, and that the bank was not entitled to debit the customer's account.

In *Curtice v. London City Midland Bank*, the customer sent a countermand to the bank; however, as it was sent in the evening and delivered outside of business hours, it did not receive

the attention of the bank until after the cheque had been paid. The customer brought an action against the bank, and the court noted that the constructive notice would not be applicable to a countermand and that only actual notice would be sufficient. This case is instrumental in term of defining a countermand, and the remarks of Cozen-Hardy MR are of particular interest:

> Countermand is really a matter of fact. It means much more than a change of purpose on the part of the customer. It means, in addition, the notification of that change of purpose to the bank. There is no such thing as a constructive countermand in a commercial transaction of this kind. In my opinion, on the admitted facts of this case, the cheque was not countermanded.

The decision in this case is important as the court's interpretation here is clearly that a countermand will not be effective unless the bank has actual notice of the countermand. Furthermore, the countermand has to be brought to the attention of an employee of the bank who is capable of action on the instruction.

The final requirement of obeying the countermand is that it is made on time. Countermands that are received *after* the original payment instruction has been executed would be ineffective. In the case of *Capital Associates Ltd v. Royal Bank of Canada* (1970) 15 DLR (3d) 234, it was established that a cheque would be considered as paid, and the countermand out of time, if the funds are made available to the payee, without any conditions attached. A more up to date and relatable example could be where payment is made through CHAPS, as these payments are usually instant. In this instance, a customer will not be able to countermand once the bank has received instruction from the customer.

3.4 The Duty to Give Account

The bank has a duty to provide an account to customers. With the paperless option now available, this may be either as the customer demands it, or periodically. Generally, you might expect to receive a statement of account quarterly, although a customer may request for it more frequently, for example, monthly. The account is a summary of all the transactions on the account – debits and credits – and any other banking activity.

3.5 The Duty to Maintain Confidentiality

The duty of confidentiality is probably the biggest part of the discussion in this chapter. The basis of this duty is that the customer gives confidential information to the bank and as such, it is bound to keep it confidential. The duty of confidentiality can be described as an implied contractual term in the banking contract. As noted earlier, the banker–customer contract may also be said to find its roots in the agency relationship. Generally, an agent would owe a duty of loyalty and confidentiality to his principal, and this is the same in the case of the banker–customer relationship.

The idea of secrecy was emphasized in the case of *Parry Jones v. Law Society* [1969] 1 Ch 1, where Lord Diplock noted:

> Such a duty exists not only between solicitor and client, but for example, between banker and customer, doctor and patient and account and client. Such a duty of confidence is subject to, and overridden by, the duty of any party to that contact to comply with the law of the land. If it is the duty of such a party to a contract, whether at common law or under statute, to disclose in defined circumstance confidential information, then he must do so and ant express contract to the contrary would be illegal and void.

The idea of confidentiality is not exclusive to the banking relationship – it may manifest in other instances, as noted in Lord Diplock's reflections above. There have been other cases which demonstrate this duty, such as *Attorney General v. Guardian Newspapers Ltd (No 2)* [1990] 1 AC 109:

> A duty of confidence arises when confidential information comes to the knowledge of a person (the confidant) in circumstances where he has notice or is held to have agreed that the information is confidential with the effect that it would be just in all the circumstances that he should be precluded from disclosing the information to other.

One of the early cases to recognize the duty of confidentiality within the banking space is *Tournier v. National Provincial and Union Bank of England* [1924] 1 KB 461. This is an important case to note if you are answering a question on this topic.

KEY CASE
***TOURNIER V. NATIONAL PROVINCIAL AND UNION BANK OF ENGLAND* [1924] 1 KB 461**

Mr Tournier was a customer of the defendant bank and his account was heavily overdrawn. He had entered into an agreement to make repayments to clear the funds but failed to do so. A cheque was drawn on the account of another customer holding an account at a different branch, but payable to the claimant. The branch manager called the claimant's employers in order to ascertain the claimant's private address. During the conversation, the manager divulged that the claimant's account was overdrawn and that he had had dealings with bookmakers. As a result, the claimant's employer refused to renew the claimant's contract of employment.

The claimant sued and the Court of Appeal held that the bank had indeed breached its duty of confidentiality to its customer, and awarded damages to the claimant. It was also held that there was an implied term between the bank and the customer that the bank would not disclose any information to a third party, whether it was pertaining to the condition of the account or any transactions pertaining to the account, without first obtaining the consent of the customer.

This case was important to the Court of Appeal, as it presented an opportunity to explore whether the duty of confidentiality covered any information that has been received by the bank or whether it was relevant to information that was received from other sources.

There are two relevant comments which should help you understand the importance of the case in more detail, and particularly why the case was helpful in understanding the scope of the duty of confidentiality.

Scrutton LJ remarked:

> The Court will only imply terms which must necessarily have been in the contemplation of the parties in making the contract. Applying this principle to such knowledge of life as a judge is allowed to have, I have no doubt that it is an implied term of a banker's contract with his customer that the banker shall not disclose the account, or transactions relating thereto, of his customers except in certain circumstances' and 'I doubt whether it is sufficient excuse for disclosure, in the absence of the customer's consent, that it was in the interests of the customer, where the customer can be consulted in reasonable time and his consent or dissent obtained.

Atkin LJ noted:

> The facts in this case as to the course of business of this bank do not appear to be in any degree unusual in general banking business. I come to the conclusion that one of the implied terms of the contract is that the bank enter into a qualified obligation with their customer to abstain from disclosing information as to his affairs without his consent … I have already stated the obligation as an obligation not to disclose without the customer's consent. It is an implied term, and may, therefore, be varied by express agreement. In any case the consent may be express or implied, and to the extent to which it is given the bank will be justified in acting. A common example of such consent would be where a customer gives a banker's reference. The extent to which he authorises information to be given on such a reference must be a question to be determined on the facts of each case. I do not desire to express any final opinion on the practice of bankers to give one another information as to the affairs of their respective customers, except to say it appears to me that if it is justified it must be upon the basis of an implied consent of the customer.

Atkin LJ stressed that the duty itself was relevant not only to the facts obtained pertaining to the condition of the customer's account, but to all other information which may have been gathered from other sources. Scrutton LJ had a different view and maintained that while the bank had a duty to respect its customers' confidence, this was not applicable to the 'knowledge derived from other sources during the continuous of the relation'.

There have been subsequent cases which have approved the principles established in *Tournier*. In the case of *Lipkin Gorman v. Karpnale Ltd* [1989] 1 WLR 1340, May LJ endorsed 'the correctness of the principles of law stated by the majority in the *Tournier's* case [which] has not been doubted since the case was decided'. In *Barclays Bank v. Taylor* [1989] 1 WLR 1066, Lord Donaldson noted that '[t]he banker customer relationship imposes upon the bank a duty of confidentiality in relation to information concerning its customer and his affaire which it acquires in the character of his banker'.

The case of *Tournier* is important as it provides clarity in terms of the *scope* of confidentiality. The case demonstrates that information is only covered by this duty if the information is received by the banker in that capacity. If any information is received before the account is opened, it may not be covered by the duty. Any information which the bank becomes aware of prior to the relationship existing, and which is then repeated once the

relationship is established, would be covered by the duty. A good case which explores this is *Attorney General v. Guardian Newspapers Ltd (No 2)* [1990] 1 AC 109, mentioned above. The general principles of confidentiality were considered in this case, and in particular, Lord Goff noted:

> [A] duty of confidence arises when confidential information comes to the knowledge of a person (the confidant) in circumstances where he has notice, or is held to have agreed, that the information is confidential with the effect that it would be just in all the circumstances that he should be precluded from disclosing the information to others. To this broad general principle, there are three limiting principles … the first is that the principle of confidentiality only applies to information to the extent that is confidential … the second limiting principle is that the duty of confidence applies neither to useless information, nor to trivia … the third limiting principle is that although the basis of the laws protection of confidence it that there is a public interest that confidence should be preserved and protected by the law, never the less, the public interest must be outweighed by some countervailing public interest which favours disclosure.

Reflecting on the above general approach considered in this case, it would seem that disclosure is only allowed when it is clear that it is in the public interest to do so. In the case of *Tournier* there is an appreciation that disclosure may take place in four other instances, which will be discussed shortly.

The issue of confidentiality was also considered in the case of *Douglas v. Hello! Ltd (No 3)* [2008] 1 AC 1. In this case, Michael Douglas and Catherine Zeta-Jones, a Hollywood celebrity couple, sold exclusive photography rights to *OK! Magazine*. Unfortunately, a photographer was able to gain access to the wedding, and subsequently sold these pictures to *OK! Magazine*'s rival, *Hello!* In their claim, both *OK! Magazine* and Douglas and Zeta-Jones claimed that under the Data Protection Act 1998 (DPA 1988) there was a breach of confidence, an invasion of privacy and an intention to damage and conspiracy to injure. The judge noted that in a wedding of 250 guests there could be no real expectation of privacy. As such, they were only successful on breach of confidence and breach of the DPA 1988.

Douglas and Zeta-Jones were granted an interlocutory injunction, which prevented *Hello!* from printing the pictures, but this was lifted after a few days. *OK! Magazine* brought their publication of the event forward, and in doing so, incurred expenses. The couple also sued for damages. The House of Lords reversed the decision of the Court of Appeal. *OK! Magazine* had paid for the pictures and was entitled to them.

The duty of confidentiality is one of the important duties, especially as it may manifest in other ways.

3.5.1 The Qualifications to the Duty of Confidentiality

We have explored the case of *Tournier* in some detail, with some other cases. It is clear that the duty of confidentiality is not absolute, and this was identified by Bankes LJ:

> At the present day I think it may be asserted with confidence that the duty is a legal one arising out of contract, and that the duty is not absolute but qualified … On principle, I think that the qualifications can be classified under four heads; (a) Where disclosure is under compulsion by law; (b) Where there is a duty to the public to disclose; (c) Where the interest of the bank require disclosure; (d) Where the disclosure is made by the express or implied consent of the customer.

3.5.1.1 Compulsion by Law

More recently, a plethora of judicial and statutory interventions have compelled institutions to disclose information which would otherwise be considered confidential information. As result, the common law duty of confidentiality, it may be argued, is in existence to fill a void. In 1989, the Jack Committee reviewed banking services and made the recommendation of codifying the banker's duty of confidentiality. There was an appreciation and recognition that the concept of duty of confidentiality was fundamental to the banker–customer relationship. The lack of scope of the duty was problematic, as it was unclear how the duty applied to protecting consumers, and that in itself could result in a lack of confidence in the banking system.

3.5.1.2 Legislation

The Police and Criminal Evidence Act 1984 and the Insolvency Act 1986 provide provisions that may compel a bank to disclose confidential information about an insolvent customer. A typical example here may be where the bank is ordered by regulatory and investigative authorities to give them access to information about customers of the bank. There is other important legislation to note here, including the Proceeds of Crime Act 2002 and the Terrorism Act 2000. Provisions of these Acts make it an offence on the part of the bank to fail to disclose information to the police, in the instance that there is a suspicion or knowledge of an offence.

The compulsion by law instances arise where the court has mandates for a disclosure. In this instance, the court can mandate the bank to disclose information about a customer to allow a third party to start proceedings against that customer. The claimant can ask the court to exercise the jurisdiction in *Norwich Pharmacal Co v. Customs and Excise Comrs* [1874] AC 133.

3.5.1.3 Duty to the Public to Disclose

This second exception to the duty of confidentiality was recognized by Bankes LJ, who that the bank may have a duty to disclose information, if it is the public interest. Bankes LJ relied on the position in the case of *Weld Blundell v. Stephens* [1920] AC 956, while Lord Finlay talked about the second qualification in relation to cases where 'some higher duty is involved', for example in the instance where 'danger to the state or public duty my supersede the duty of the agent to his principal': in other words, where the duty of confidentiality of the bank to the customer is superseded by the public interest. It is interesting to note, however, that while Bankes relied on the view of Lord Finlay in *Weld Blundell*, he had doubts as to whether a bank should be able to disclose information simply because it had suspicions that the customer was involved in a crime.

There has been some discussion about this second qualification and whether it should still be accepted. The biggest issue, clearly, is balancing the public interest against maintaining confidentiality of a customer's financial information and any other relevant dealings with the bank. This particular qualification is also difficult because there seems to be an overlap between the first duty (compulsion by law) and this duty of confidentiality. The Jack Committee recommended that this exception be abolished; however, the government rejected this recommendation on the grounds that the public duty qualification allows banks to make that the disclosure, in contrast to the different statutes which require disclosure.

There have been a few cases where the courts have been faced with applying this second qualification. One of the key cases in this area is *Libyan Arab Foreign Bank v. Bankers Trust Co* [1989] QB 728, as this provided some early insight to this particular duty. In this case they relied on the qualifications established by *Tournier*. The first two grounds for justifying disclosure were rejected by Staughton J; however, he was of the view that public interest ground could be applicable. It should be noted here that he did not have to decide the case on this specific ground and that he added:

> But presuming (as I must) that the New York law on this point is the same as English Law, it seems to me that the Federal Reserve Board as the Central Bank in the United States, may have a public duty to perform in obtaining information from banks.

Another important case in this respect is the case of *Price Waterhouse BCCI Holdings (Luxembourg) SA* [1922] BCCLC 583. Here, the courts were able to consider the public interest in more detail.

KEY CASE
***PRICE WATERHOUSE V. BCCI HOLDINGS (LUXEMBOURG) SA* [1992] BCCLC 583**

In this case, the issue was a disclosure by Price Waterhouse of confidential information pertaining to their clients Bank of Credit and Commerce International Groups (BCCI) to the Bingham Inquiry. The Bingham Inquiry was created by the Chancellor of Exchequer and the Governor of the Bank of England, with the objective of investigating the collapse of BCCI. The Bingham Inquiry was a non-statutory inquiry; therefore, there was no statutory duty which required Price Waterhouse to disclose any information. They applied to the court to see whether they could legally provide the information, as they wished to assist the investigation.

Millet J noted that this particular instance fell within the scope of the second qualification as established by *Tournier*, as it was clearly in the public interest to disclose information pertaining to the performance to the Bingham Inquiry. There was an emphasis that the context in which this second qualification should be applied does not need to be limited to instances that are devised to prevent wrongdoing but should also include the interest that exists in maintaining effective regulation and supervision of banking institutions by the central bank and ensuring the protection of depositors' funds.

The case of *Price Waterhouse* is an important one, as it provided further clarity on the second exception as established by *Tournier.* This also makes it quite clear that there is a need to keep and preserve this as a separate and independent qualification to the duty of confidentiality. The courts had another opportunity to examine this issue in the case of *Pharon v. Bank of Credit and Commerce International SA (in Liquidation*) [1998] 4 ALL ER 455. This case finds its roots in *Price Waterhouse* and demonstrated that the second *Tournier* exception can be applied in the context of disclosing to a private person – there is no need for it to only be a public or regulatory body. In the case of *Pharon*, Rattee J maintained that the duty of confidentiality could be overridden by some greater public interest. From a review of all of the above cases, therefore, it may be concluded that this exception continues to have a place in the law.

3.5.1.4 Interests of the Bank

The third qualification that the case of *Tournier* establishes is when disclosure is necessary as it is in the interest of the bank. In this case the most apparent example is when the bank itself starts proceedings against its customer, with a view to recovering unpaid sums. This may be an unpaid loan or even an unpaid overdraft facility. Interestingly, however, it is possible that this exact situation could fall within the scope of the second exception that we have just looked at, especially where disclosure is in the public interest.

The case of *Sunderland v. Barclays Bank* (1938) 5 LDAB 163 was an example of how this third qualification may be interpreted too favourably for the bank. In this case, the bank dishonoured a cheque of a married woman for two reasons: first, insufficient funds were available in the account; second, the bank had information that the cheques were being drawn in relation to gambling activity. In a telephone conversation between the bank manager, the wife and the husband, it was revealed by the manager that Mrs Sunderland (the wife) had been drawing cheques in favour of bookmakers. The wife brought an action against the bank on the grounds of breach of duty of confidentiality; however, her claim was dismissed by Du Parcq LJ, who maintained that the bank's reputation was under threat and as such it was justifiable that the information was disclosed to the husband. Furthermore, it was held that she had given her implied consent to the disclosure by permitting him to join the telephone conversation.

The decision in *Sunderland* can be, and was, criticized. When you think about it, in order to protect the bank's 'reputation' the bank manager only needed to mention that the wife had insufficient funds in the account to meet the payments; he actually did not need to go the extra mile by disclosing the wife's gambling endeavours. Nevertheless, with this criticism, this third qualification has been followed and was recognized in the case of *Christiofi v. Barclays Bank Plc* [1999] 2 ALL ER. While this qualification is recognized, it is also important to note that there also seems to be a general acceptance that the scope of this qualification is maintained narrowly, given that there is scope for an abuse of it. The Jack Committee had reservations about this qualification. The first related to sharing confidential information between two different entities of the same banking group. More so, these would be clear breaches, given that each company is indeed a separate corporate personality in its own right. The recommendation here was that banking groups should be permitted to share

information within the same group, without customer consent, as long as the disclosure was reasonably necessary for the actual purpose of protecting the bank from losses that may occur in providing banking services. The second reservation the Jack Committee had was in relation to the uncertainty in relation to the banking practice of disclosing customer information to credit reference agencies and whether or not this could be justified by reference to this third qualification, or any other, as established by *Tournier*.

3.5.1.5 Disclosure with the Customer's Consent

The final qualification in *Tournier* is disclosure with the customer's consent. This may be express or implied. When the customer does so expressly, this is as a matter of fact. A good example may be where the customer has clicked, signed or ticked a box which says that information can be shared with a third party. In *Tournier*, Banks LJ himself provided the example where a customer authorizes the disclosure by the bank of confidential information, for the objective of providing a credit reference. It then became a practice of banks to provide references on the basis that the customer had given their implied consent.

This particular practice was examined in the case of *Turner v. Royal Bank of Scotland* [1999] 2 All ER (Comm). In this case, it was held that this was not an implied term as the custom was not well known to the bank's customers. Mr Turner held both a current and business account with the defendant bank, and when enquiries were made about Mr Turner's creditworthiness the response from the bank was unfavourable. In responding to these enquiries about his creditworthiness the bank made use of confidential information held about the state of Mr Turner's account, before formally responding to the enquiries.

Mr Turner brought an action against the bank and claimed damages for the breach of the duty of confidentiality. The bank held the position that it was the general practice of banks to respond to queries from other banks by providing information in respect to the creditworthiness of customers. This case went to the Court of Appeal and the court dismissed the bank's argument, maintaining that there was a distinction between banking practices which operate as 'no more than a private agreement between banks' and a practice which amounts to an established usage contractually binding on a customer, even if the customer is not aware of it. The Court of Appeal upheld the decision of the trial judge and rejected the argument of the bank that the customer had given implied consent to the disclosure of confidential information. The court held the bank liable for the breach of duty of confidentiality.

It is clear the bank owes duties to the customer; however, there are some exceptions, as we have seen in the case of Tournier.

6. DUTY OF THE CUSTOMER TO THE BANK

We have spent some time going over the duties of the bank to the customer, but it is also important to note that customers too have a duty to the bank. While the duties of the bank to

the customer are quite broad in some respects, we find that the duties owed by the customer to the bank are quite straightforward and easier to follow. There are two main duties that we will explore here. The first is the duty to not draw fraudulent cheques or to engage in fraud; second is the duty to notify the bank as soon as they become aware of forgery or fraud.

6.1 Duty to Not Draw Fraudulent Cheques or Engage in Fraud

The case of *London Joint Stock Bank Ltd v. Macmillan* [1918] AC 777 settled this duty. In this case, the firm made it a practice to allow the clerk to prepare and present cheques to a partner of the firm in order for them to append their signature. The clerk presented a blank cheque for signature to a partner who believed that the cheque was being drawn for petty cash. Once the cheque had been signed, the clerk wrote 'one hundred and twenty pounds' in the space allocated for words. The cheque was presented at the firm's bank, payment was made and the clerk fled. This case, which reached the House of Lords, reflected on the question as to whether the bank was entitled to debit the firm's account for the £120. The court held that indeed the bank was entitled because the customer had breached its duty in relation to the manner of which cheques were drawn. Lord Finlay reviewed the entire case in the following way:

> It is beyond dispute that the customer is bound to exercise reasonable care in drawing the cheque to prevent the banker being misled. If he draws the cheque in a manner which facilitates fraud, he is guilty of a breach of duty as between himself and the banker, and he will be responsible to the banker for any loss sustained by the banker as a natural and direct consequence of this breach of duty.

This issue was addressed again in the case of *Slingsby v. District Bank* [1932]1 KB 544, where the court held that a cheque being blank would not always mean that the customer has been negligent. The customer in this case had left a blank space after the payee's name, which made it possible for the payee to add additional words. The courts did not find the customer negligent in this instance, and therefore the customer was able to argue that he should not have been debited by the bank.

6.2 Duty to Inform the Bank of Forgery Once the Customer Has Notice

It is necessary that the customer makes the bank aware once there is evidence of forgery. In the case of *Greenwood v. Martins Bank Ltd* [1933] AC 51, the wife of the defendant fraudulently withdrew different amounts from his account. She forged his signature to enable the withdrawals. He learned that the wife had lied about the reasons why she withdrew money from his account and when he threatened to inform the bank, sadly, she committed suicide.

Mr Greenwood sought to bring an action against the bank to recover the amounts; however, the House of Lords noted that he had a duty to the bank to make it aware of the forgeries as soon as he became aware of them. This disclosure would have enabled the bank to take the necessary steps to recover the money wrongfully paid out. As he had waited a period of eight

months before he informed the bank, he estopped by claiming the signatures were forged and was unable to recover the funds. This particular duty was also visited in the case of *Brown v. Westminster Bank* [1964] 2 Lloyd's Rep 187.

While banks have duties to customers, what we have established in the last few sections is that customers also have duties to banks. These have clearly been established in the cases of *Macmillan* and *Greenwood*. When you are discussing the banker–customer relationship in essay or exam questions, it is worth noting these duties also.

✓ **You now understand that the customer too owes the bank a duty of care. You should now be familiar with these duties as discussed in the cases of *Macmillan* and *Greenwood***

7. SUMMARY

In this chapter, we have considered the banker and customer relationship in quite a lot of detail. We have focused on some of these important duties, such as the duty to make payment and the duty to maintain confidentiality. We have also explored some really important cases here, such as *Tournier* and *Kpohraror*. Finally, we have also considered the duties of the customer to the bank, including not drawing fraudulent cheques and informing the bank when the customer becomes aware of a fraud.